



DSCR
GUIDELINES
V1.1

Contents

Fair Lending Statement	5
Product Overview	5
Products Offered	5
Adjustable-Rate Products	5
Regulatory Compliance	5
Borrower Eligibility	6
Eligible Borrowers	6
First-Time Investor / First-Time Homebuyer	6
Eligible Borrowing Entities	7
3.1.4 Permanent Resident Aliens	7
Non-Permanent Resident Aliens	8
Foreign National	8
Credit Qualification	9
US Credit	9
Foreign Credit	9
No Credit(Foreign National)	9
LTV Restrictions	9
Ineligible Borrowers	9
Occupancy	10
Non-Owner Occupied Investment Property	10
Borrower Business Purpose & Occupancy Affidavit	10
Purchase	10
Rate/Term Refinance	11
Cash-Out Refinance	12
Construction Loan Take Out	12
Foreclosure Bailout	13
Loan Seasoning	13

	3
Non-Arm's Length Transactions _____	13
Delayed Financing _____	13
Continuity of Obligation _____	14
Properties Listed for Sale _____	14
Ineligible Transactions _____	14
Flip Transactions _____	15
1031 Exchange _____	15
Compensating Factors _____	16
Credit Eligibility _____	16
Bankruptcy _____	16
Credit Event _____	17
Housing History _____	17
Balloon Payment Past Due _____	18
Credit Report Detail _____	18
Judgements, Liens, Charge-Offs, Collections _____	18
Long Term Rent _____	19
Purchase _____	19
Refinance _____	19
Short Term / Variable Rental _____	19
Short Term Rentals _____	19
Asset Documentation _____	21
Gift Funds _____	21
Life Insurance Cash Value _____	22
Accessory Dwelling Units – ADU _____	22
Rural / Agricultural Properties _____	23
Property _____	23
Appraisal _____	23
Appraisal Review _____	23
Condos _____	25

Warrantable Condo	25
Non-Warrantable Condo	26
Non-Warrantable Features Allowed(Up to Two)	26
Non -Warrantable Features (Possible Considerations with Exception Review)	26
Additional Guideline Requirements	27

Fair Lending Statement

Product Overview

Products Offered

- **Terms:** 30-year amortization & 40-year amortization. Qualified using the fully amortizing payment.
- **Interest-Only Option:** Available with a 30-year term & 40-year term including a 10-year initial interest-only period followed by Fully amortizing remaining period. Qualified using the interest only payment.

Adjustable-Rate Products

An Adjustable-Rate Mortgage (ARM) is a mortgage transaction in which the interest rate changes at specified intervals.

- **Terms:** 5yr/6m, 7yr/6m and 10yr/6m initial adjustable rate period options with 30-year amortization & 40 Year amortization. Qualified using the fully amortizing payment based on the original Note Rate.
- **Interest-Only Option:** Available with a 30-year term & 40-year term including a 10-year initial interest-only period followed by a fully amortizing remaining period. Qualified using the interest only payment based on the original Note Rate.
- **Caps**
 - 5yr/6m: 2%/1%/5% (Initial, Periodic, Lifetime)
 - 7yr/6m and 10yr/6m: 5%/1%/5%
- **Index:** 30 Day Average SOFR Index as published by the New York Federal Reserve.
 - Margin/Floor: 4.00%

Regulatory Compliance

For business purpose loans originated under the DSCR program consumer protection laws applicable to consumer loans do not apply, including the Truth in Lending Act (15 U.S.C. § 1601 et seq.), Real Estate Settlement Procedures Act (12 U.S.C. § 2601 et seq.), Gramm-Leach Bliley Act (15 U.S.C. §§ 6802-6809), Secure and Fair Enforcement Mortgage Licensing Act (12 U.S.C. § 5101 et seq.), and Homeowners Protection Act (12 U.S.C. § 4901 et seq.)

Borrower Eligibility

The maximum exposure to Cliffco for a borrower/guarantor is 10 loans or \$7,500,000.

Eligible Borrowers

U.S. Citizens

- First Time Homebuyer
- First Time Investor
- Permanent Resident Aliens
- Non-Permanent Resident Aliens
- Foreign National
- Inter-Vivos Revocable Trust
- Limited partnerships, general partnerships, corporations
 - Guarantor required

Eligible: LLC, Sole Proprietorship, LP, LLP, S and C Corp – must be U.S. based o Personal guarantor required - Personal Guarantor must also sign closing documents and disclosures.

Final loan docs may not be signed with a POA.

First-Time Investor / First-Time Homebuyer

- A First-Time Investor is defined as a borrower who has not owned at least one commercial or residential investment property in the United States for at least 12 months in the last 3 years
- If one borrower on the transaction is not a first-time investor, first time investor guideline rules do not apply
- <1.0 DSCR not permitted
- Min 700 Fico
- Motivation letter required if property is purchased out of state from borrower's/guarantor's residence
- Borrower's living rent free or incomplete housing history, see 'Housing History' section
- Defined as not owning a property/rental in the United States for at least 1 year within last 7 years – Borrowers that have owned a property/rental in the last 7 years are not considered first time homebuyers
- If one borrower on the transaction is not a FTHB, no further restrictions apply
- Borrower's living rent free or with incomplete housing history, see 'Housing History' section

First-Time Home Buyer Borrowers who are living rent-free are eligible for an investment purchase under the following conditions:

- The loan must meet the following criteria: an LTV of 80% or lower (or DSCR of 1.0+) , and at least a 10% minimum contribution from the borrower's own funds.

Eligible Borrowing Entities

Inter-Vivos Revocable Trust o If using trust assets to qualify and/or vesting in the trust - Full trust documents required, and borrower must be beneficiary of the trust

- Up to two entities allowed
 - Guarantor(s) must be a managing member or majority owner as confirmed by the Operating Agreement (or equivalent) and have at least 25% ownership of the business entity. Said guarantor is subject to the same underwriting requirements as an individual Borrower
- Layered entities – Max 2 layers ENTITY REQUIREMENTS Corporation or LLC
- The borrower is at least 25% or majority shareholder
- Business entity limited to Cliffco Mortgage Bankers 4 maximum of “owners” = members, partners, or shareholders of the entity Members
- Members of the business entity that are NOT borrowers on the transaction do not need to sign in the capacity of an individual borrower
- A POA may not be used when closing in an LLC or Corporation. A notarized certificate of authorization may be used.
- Entity must be established and registered in United States General/Limited Partnership
- Additional owners may also be required to acknowledge or execute loan documents depending on language within the Partnership Agreement
- Validation of the entity's status through review of the following documentation:
 - Annual Registration with the Secretary of State of Certificate of Good Standing from the Secretary of State within 90 days of closing that reflects no issues
- Verification of authorized agent
- Entity must be established and registered in United States

3.1.4 Permanent Resident Aliens

- Permanent Resident Aliens are individuals who permanently reside in the United States
- A legible front and back copy of the borrower(s) valid Green Card

Non-Permanent Resident Aliens

A Non-Permanent Resident Alien is a non-U.S. citizen authorized to live and work in the U.S. on a temporary basis.

Non-Permanent Resident Alien borrowers are eligible, subject to restrictions below.

- Copies of the borrower's valid passport and unexpired VISA permitting lawful entry into the United States is required.
 - If VISA renewal is in process or delayed, provide application for extension or renewal (adjustment of status)
- Acceptable alternative documentation to verify classification is an I-797 form (Notice of Action) with valid extension dates and an I-94 form (Arrival/Departure Record). Borrower unable to provide evidence of lawful residency status in the U.S. are not eligible for financing. The borrower(s) must have a minimum of 2 years residency.
- All parties involved in the transaction must be screened through exclusionary lists and must be cleared through OFAC's SND list.
- Borrowers from OFAC sanctioned countries are ineligible.
- Borrowers below can be on title but can't be a guarantor on the loan:
 - Borrowers with diplomatic immunity are ineligible
 - DACA recipients are ineligible
 - EAD cards without valid visas are ineligible
 - Eligible VISA Types:
 - E-1 through E-3
 - H1, H1-B, H1-C
 - G-1 through G-5
 - L-1A, L-1B
 - Nato
 - TN (Nafta)

Foreign National

A Foreign National is a non-U.S. Citizen who is not authorized to live or work in the U.S. or holds a work Visa that is indicative of a more temporary residency than those required to meet Non-Permanent Resident Alien requirements.

Credit Qualification:

US Credit

- Minimum FICO: 680
- A U.S. credit report should be obtained for each foreign national borrower with a valid Social Security Number (SSN). For borrowers without a valid Social Security Number, an Individual Taxpayer Identification Number (ITIN) is also allowed. An ITIN is acceptable if the borrower has the ITIN for the purpose of reporting taxes from passive income sources and is not employed in the US.

Foreign Credit

- No Minimum FICO requirements
- Foreign Nationals who do not have a valid SSN or ITIN may still proceed under the Foreign National program with all other requirements still applicable:
 - Three open accounts with a two (2) year history reflecting no late payments
 - Mortgage and/or rental payment must be verified with a twelve (12) month history not to exceed 0x30 in the past twelve (12) months
 - A two (2) year housing history can be used as a tradeline
 - U.S. credit accounts can be combined with letters of reference from verifiable financial institutions in a foreign country to establish three (3) open accounts. If letters are obtained, they must:
 - State the type and length of relationship, how the account(s) are held, and the status of the account(s)
 - Contain contact information for the person(s) signing the letter(s)
 - Any translation required must be signed and dated by a certified translator

No Credit(Foreign National)

- LTV Restrictions

Ineligible Borrowers

- Administrative (GSE) Excluded Party lists
- Any parties to a transaction listed on HUD's Limited Denial of Participation (LDP) list, or the federal General Services
- Asylum applicants
- Borrowers involved in active litigation
- Borrowers with diplomatic immunity
- Borrowers without a valid Social Security Number
- DACA and asylum applicants(available to for correspondent lending by exception only)

- ITIN Only (By Exception)
- EAD Card without valid Visa
- Irrevocable, Land or Blind Trusts
- Vesting in retirement vehicles
- Non-profits

Occupancy

Non-Owner Occupied Investment Property

- Signed Occupancy Affidavit required.

Borrower Business Purpose & Occupancy Affidavit

A Borrower Business Purpose & Occupancy Affidavit is required that includes:

- Borrower's and subject property's address.
- Borrower intends to use the proceeds of the mortgage loan for a business purpose.
- Borrower does not currently occupy the subject property or plan to occupy the subject property.
- Subject property is leased or will be leased.
- Statement must be signed and dated by the borrower.

Purchase

- The lesser of the purchase price or appraised value is used to calculate LTV/CLTV.
- A copy of the fully executed purchase contract and all attachments and addenda should be included
- Inspection reports are not required unless the appraisal suggests further investigation (e.g., termite reports)
- Non-Arm's Length transactions are not permitted
- Unless the borrower is purchasing a multi-unit property, the subject property value should generally not exceed 75% of the property value of the borrower's current residence (own or rent)" In the event that it does, the Underwriter should review further for adherence to "Eligibility" section.
- Sale and leaseback agreements will not be permitted to exceed 60 days from closing date
- Flip Transactions – see 'Flip Transactions' section
- Assignment of contract with finder's fees reflected on the purchase contract are not eligible to be included in the sales price or LTV/CLTV

Rate/Term Refinance

A Rate / Term Refinance transaction is when the new loan amount is limited to the payoff of a present mortgage for the purpose of changing the interest rate and/or term of mortgage only with no additional cash or advancing of new money on the loan unless it is below the limited Cash-Out amount.

The seasoned non-first lien mortgage is (1) a purchase money mortgage or (2) a closed end mortgage or HELOC mortgage not having any draws greater than \$5,000 in the past twelve (12) months – Withdrawal activity must be documented with a transaction history from the HELOC.

Limited cash to the Borrower must not exceed the greater of \$5,000 or 2% of the principal amount of the new mortgage to be considered a Rate / Term refinance.

The LTV / CLTV will be based off of the appraised value. Loan must be used to pay off existing lien on the Subject mortgage and cash to the Borrower must not exceed the greater of \$5,000 or 2% of the principal amount of the new mortgage.

Subject property recently vacated by borrower requires a lease and proof of three months' rent or mortgage paid at new primary residence to consider the property under DSCR guidelines. Subject property refinance is eligible if borrower is now rent free or residing in a different owned residence with lease and 3 months cancelled checks.

If borrower has less than 6 months ownership seasoning prior to note date, LTV/CLTV will be based on the lesser of the original purchase price plus improvements or current appraised value. The prior settlement statement will be required for proof of purchase price. Proof of improvements is required.

There is no waiting period if the lender documents that the borrower acquired the property through an inheritance or was legally awarded the property (divorce, separation, or dissolution of a domestic partnership).

If the borrower acquired the property within the last 12 months as a gift, award, inheritance or other non-purchase transaction, the LTV/CLTV will be based on the current appraised value. The lender must obtain appropriate documentation to verify the acquisition and transfer of ownership.

Refinance of a previous Cash-Out seasoned < 1 year will be considered Cash-Out refinance.

Properties that have been listed for sale by the Borrower within the past six (6) months from the note date will be considered on a case-by-case basis and will require an investor exception approval, subject to LLPA. Properties may not be currently listed.

Cash-Out Refinance

A Cash-Out Refinance transaction allows the Borrower to pay off the existing mortgage by obtaining new financing secured by the same property or allows the property owner to obtain a mortgage on a property that is currently owned free and clear. The Borrower can receive funds at closing if they do not exceed the program requirements.

To be eligible for a Cash-Out Refinance the Borrower must have owned the property for a minimum of six (6) months prior to the note date.

Properties listed for sale by the Borrower within the last twelve (12) months will be considered on a case by case basis and will require investor exception additional LLPA will be considered.

A Texas 50(a)(6) loan is a non-purchase money mortgage (potentially including a refinance of a prior home equity loan) in which the borrower takes equity out of a homestead property in Texas. In order to be valid, these home equity loans must comply with all requirements listed in Section Article XVI, Section 50(a)(6) of the Texas Constitution. Sellers should not rely on Cliffco Mortgage Bankers categorization of a loan as a “Cash-Out Refinance” for purposes of determining whether compliance with the Texas Constitution is required. Sellers should instead consult with their own legal or compliance resources to determine the applicability of Article XVI, Section 50(a)(6) to a specific transaction.

Seasoning = borrower’s purchase closing date to note date.

There is no waiting period if the borrower acquired the property through an inheritance or was legally awarded the property (divorce, separation, or dissolution of a domestic partnership).

If the borrower acquired the property within the last 12 months as a gift, award, inheritance or other non-purchase transaction, the LTV/CLTV will be based on the current appraised value, max LTV 70%. The lender must obtain appropriate documentation to verify the acquisition and transfer of ownership.

Construction Loan Take Out

The conversion of construction-to-permanent financing involves the granting of a long-term mortgage to a borrower to replace interim construction financing obtained by the borrower to fund the construction of a new residence. The borrower must hold title to the lot, which may have been previously acquired or purchased as part of the transaction. When a refinance transaction is used, the borrower must have held legal title to the lot before he/she applied for the construction financing and must be named as the borrower for the construction loan. A construction-to-permanent transaction may be closed as a purchase, rate/term refinance or cash-out refinance. All construction work must be complete. See New Construction.

- For lots owned ≥ 12 months from application date for the subject transaction, LTV is based on the current appraised value.
- For lots owned < 12 months from application date for subject transaction, LTV is based on the lesser of the current appraised value of the property or the total acquisition costs (sum of construction costs and purchase price of lot).

1 year PPP required.

Foreclosure Bailout

A foreclosure bailout is a refinance or purchase transaction where the true purpose of the loan is to refinance an existing loan to the borrower which is secured by the mortgaged property that is in foreclosure. Such transactions are ineligible for purchase.

Loan Seasoning

To be eligible for purchase, the period between the closing date and the lock date cannot exceed 90 days.

Non-Arm's Length Transactions

All of the parties to a transaction should be independent of one another. Except as indicated below if a direct relationship exists between or among the parties, the transaction is non-arm's length, and the related loan is not eligible for purchase. The following transactions are eligible provided that such transactions and the related circumstances are properly documented:

- Sales or transfers between members of the same family. Transaction may not be due to any adverse circumstances.
- Property seller acting as his or her own real estate agent.
- Borrower/relative acting as borrower real estate agent.
- Borrower/relative is an employee of the originating lender.

Delayed Financing

Delayed financing is qualified and priced as a cash-out refinance.

Delayed purchase financing is available when a property was purchased by a Borrower using cash, within one hundred eight days (180) from the date of purchase to the new mortgage note date.

The original purchase transaction must be an arm's length transaction.

The source of funds for the original purchase transaction must be documented (bank statements, personal loan documents, HELOC from another property as example).

Delayed financing (on properties purchased by the borrower with cash and owned < 12 months) are permitted if the original transaction was arm's length.

Provide settlement statement from purchase confirms no financing used to acquire.

Purchase funds are required to be documented. If gift funds were used, the borrower may only finance the amount put into the transaction, excluding gift.

The LTV/CLTV will be based on the lesser of the original purchase price or current appraised value. The prior settlement statement will be required for proof of purchase price.

Continuity of Obligation

Rate/Term Refinance: At least one borrower on the new loan must be on title of the subject property at the time of initial application.

Cash Out Refinance: At least one borrower must have been on title to the subject property for at least 6 months at the time of initial application.

There is no waiting period if the borrower acquired the property through an inheritance or was legally awarded the property (gift, award, divorce, separation, or dissolution of a domestic partnership).

Continuity of Obligation is met when a borrower is at least 25% owner of an entity and is refinancing from a natural person to an entity or vice versa.

Properties Listed for Sale

- Properties that have been listed for sale by the borrower, seasoning is from listing removal date to note date.
- LTV based on the lower of the appraised value or lowest listing price in the last 12 months.
- Unsold builder inventory is ineligible.
- Properties listed for sale at application date are ineligible.
- R/T no PPP 1-12 Months not permitted
- R/T with PPP min 2 Yr PPP
- C/O No PPP max 70 LTV 6 month seasoning for listing removed date
- C/O W PPP Min 2 Year PPP

Ineligible Transactions

- Construction Loans
- Builder Bailout & Model leasebacks Conversion Loans
- Rent Credits

- Non-Arm's Length (Gift of equity from family member by exception only)
- Lease Option
- Refinance of unsold builder inventory
- Reverse 1031 exchanges
- Foreclosure Bailouts
- Cashouts less than 6 months seasoning (Unless repairs can be documented and a supported appraisal is completed)

Flip Transactions

When the subject property is being resold within 180 days of its acquisition by the seller and the sales price has increased more than ten (10%), the transaction is considered a "flip". To determine the 180 day period, the acquisition date (the day the seller became the legal owner of the property) and the purchase date (the day both parties executed the purchase agreement) should be used

Flip transactions are subject to the following requirements:

- All transactions must be arm's length, with no identity of interest between the buyer and property seller or other parties participating in the sales transaction
- No pattern of previous flipping activity may exist in the last twelve (12) months. Exceptions to ownership transfers may include newly constructed properties, sales by government agencies, properties inherited or acquired through divorce, and sales by the holder of a defaulted loan
- The property was marketed openly and fairly, through a multiple listing service, auction, for sale by owner offering (documented) or developer marketing
- No assignments of the contract to another buyer
- If the property is being purchased for more than 5% above the appraised value, a signed letter of acknowledgement from the Borrower must be obtained
- A second appraisal is required, prior to closing, in the following circumstances:
- Greater than ten (10%) increase in sales price if seller acquired the property in the past ninety (90) days
- Greater than twenty (20%) increase in sales price if seller acquired the property in the past one hundred eighty (180) days
- The Borrower may not pay for the 2nd appraisal

1031 Exchange

- Funds held by a 1031 administrator/agent are permitted for down payment and closing costs
- Allowed on investment purchases only

- Excess proceeds cannot be used to satisfy reserve requirements unless liquidated
- Must be in compliance with Internal Revenue Code Section 1031
- Documented by accommodator instructions, fully executed exchange agreement at closing, and settlement statement
- NOTE: 2-4-unit properties where one of the units is occupied by the customer are not considered investment properties and therefore are not eligible

Compensating Factors

- FICO score above minimum by 20 points or higher
- DSCR above minimum by .15 or higher
- PITIA reserves above minimum by 6 months or higher
- 0 X 30 X 24-housing history
- Experienced Investor (Greater than 3 current rentals)
- LTV below max by 5% or higher
- Greater than 5 years ownership seasoning on subject property (refinances only)

Credit Eligibility

Bankruptcy

Prior Bankruptcies (Chapter 7, 11, 13) are permitted based upon respective Program Matrix. Multiple bankruptcies are not permitted.

Cash out cannot be used to settle; BK must have been settled prior to application.

Bankruptcy including Chapter 7, 11, and 13 - seasoning based on discharge or dismissal date.

Bankruptcies discharged or dismissed for a minimum of 36 months from closing date are eligible without the related Program Matrix LTV reductions.

- If discharge or dismissal: > 24 but less than 36 months, then: ** Exception needed
 - Max 75% LTV for Purchase Transactions
 - Max 70% LTV for Rate/Term and Cash-Out Refinance Transactions
- Multiple bankruptcies are not permitted for No Ratio loans.
- For Chapter 13 Bankruptcy, the lookback period varies depending on if the bankruptcy was discharged or dismissed:
 - If the BK was discharged, the filing date will be used for the lookback period and the BK must be discharged for a minimum of 12 months.
 - If the BK was dismissed, the dismissal date is used for the lookback period.

Credit Event

- Prior Foreclosure, Short Sale, Deed-in-Lieu, and Modification (due to default), Notice of Default, Lis Pendens, and 120+ days delinquency is permitted based upon respective Program Matrix
- Borrowers currently enrolled in credit counseling or debt management plans are not permitted
- All Judgments or liens affecting title must be paid
- Events include all occupancy types – Primary, 2nd Home & Investment Properties
- Foreclosures included in bankruptcy permitted based on BK discharge date if the borrower has vacated the property
- Timeshares including delinquencies are treated as installment loans and not a credit event
- LOE required for any recent credit event less than 3 years
- Events seasoned less than 3 years require the borrower to have 0x30x12 evidenced in the most recent 12 months

Housing History

- Property tax liens and delinquent HOA dues at application will require a pre-approval
- Only one borrower needs to meet housing history requirement
- All borrowers must be current on mortgage or rent at loan application
- Housing history evidenced by twelve (12) months proof of payment via cancelled checks, bank debits or institutional/private party VOR
- For DSCR only the primary and subject housing history must be verified
- A borrower who sold a home and is temporarily staying rent free until the purchase of a new home is not considered an incomplete housing history. Must document most recent 12-month history prior to the sale of departing residence

Rent free or incomplete housing history:

- Properties owned free and clear satisfies housing history with evidence property taxes are current.
- No open and active mortgages reporting on credit will require a pre-approval.
- Open and active mortgage(s) reporting on initial credit for minimum 12 months is permitted to satisfy housing history.
- Rent free from spouse or title only ownership requires Institutional VOM or bank records are required to satisfy primary housing history.

Balloon Payment Past Due

A past due balloon payment is treated as a delinquency (1 x 30) and not a housing event, but only within 180 days of maturity.

Transaction histories showing payments made and applied on time are considered to have been extended and not considered delinquent.

Credit Report Detail

- Tri-merged in file credit report including scores from Experian, Transunion and Equifax is required. A minimum of two scores must be reported.
- If the qualifying borrower has three credit scores, the minimum tradeline requirement is waived for all borrowers.
- Credit Report is good for 120 days from the note date.
- Delinquent credit belonging to ex-spouse can be excluded if late payments occurred after the divorce/separation, and divorce decree/separation agreement indicates derogatory accounts belong solely to the ex-spouse.
- Rapid rescore of credit permitted for confirmation of pay down and/or payoff of debt and correction of reporting errors- Updated credit score permitted for qualifying.
- A credit freeze may remain if it is reported under one bureau only and a minimum of two scores are present. More than one frozen bureau requires the freeze to be lifted by the borrower and a new report provided.
- Borrowers currently enrolled in credit counseling or debt management plans are not permitted.
- Each borrower must have 2 tradelines or joint borrowers must have a total of 3 tradelines combined, rated at least 12 months, with activity in the last 24 months.
- Tradeline may be opened or closed
- Eligible tradelines cannot have any derogatory history in previous 24 months
- Current housing not reporting on credit can be considered an open trade if supported by bank records (cancelled checks, debits)
- No authorized user accounts may be used to satisfy minimum tradelines
- Highest Mid FICO score is used to qualify
 - Use highest mid FICO of any guarantor if more than 1 guarantor. Minimum credit score of 620 for any guarantor.

Judgements, Liens, Charge-Offs, Collections

Non-title charge-offs and collections open <2 years and greater than \$10,000 (individually or aggregate) must be paid.

Medical collections less than \$15,000 are not required to be paid.

Long Term Rent

Borrowers qualify with the income generated from subject property. All files using long term rent must contain a 1007 or 1025.

Purchase

DSCR ratio is based off the 1007/1025. If the subject has an in place lease that will be transferring over to our borrower, you will then use the lower of the 1007/1025 or in place lease. If the home is coming over as vacant then nothing else is required except the 1007/1025.

Refinance

DSCR is based off the 1007/1025 or executed lease agreement. If using the lease agreement that exceeds market rent you are allowed up to 120% variance. This must be accompanied by 2 months proof of receipt. If you are using the market rent that exceeds the lease agreement you are allowed up to 120% variance. You must provide two months of receipt for the rental income and the lease must be ending in the next 3 months with no option for Month to Month continuance. When using market rent that is lower than the in-place lease agreement no proof of receipt is required.

- Min DSCR .75
- No ratio: Allowed for long term rent only with a min credit score of 660, No First Time Investor, and No interest Only

Short Term / Variable Rental

Evidence that the municipality allows short term rentals.

Short Term Rentals

Short Term Rental (STR) income received directly from a home-sharing service (such as Airbnb, VRBO, HomeAway) may be used for qualification when the following requirements are met on Full and Alt Doc loans. For DSCR loans (1-4 Units Only), see DSCR section of these Guidelines for requirements and restrictions. STRs are not permitted for DSCR No Ratio. Refer to Program Matrices for STR eligibility.

- Short Term Rentals are properties leased on either a nightly, weekly, monthly, or seasonal basis.

- All STRs require evidence from third party vendor validating that the governing municipality where the subject STR is located allows properties to be rented as STRs; apart from the five (5) New York City Boroughs (Manhattan, Brooklyn, The Bronx, Queens and Staten Island), which are ineligible.
- For DSCR loans (1-4 Units Only)
- STRs are not permitted for No Ratio.
- Rental Income Documentation Purchase Options(1 of the following):
 - 1007/1025 completed using short-term market rents.
 - AirDNA
 - Must use the default comps with no changes made
 - Must cover 12 months
 - Report must be dated within 90 days of note date
 - Occupancy rate must be greater than 50%
 - Comparable properties must be located within either a 2 mile radius, the same zip code, or same Air DNA submarket
 - Short Term Rental Analysis Form
 - Must contain same information as 1007/1025 and be completed by licensed appraiser
- When the 1007/1025 is prepared with the use of short-term rentals, the appraiser is required to address the seasonality of the subject properties short term rental market in computing the market rent.
- On a refinance, a screen shot of the online listing must show the property is actively marketed as a short-term rental. Proof of rental income can be documented with any of the below.
 - 12-month lookback period to determine avg rents or annual or monthly statements from AirBNB or similar service.
 - The most recent 12 months bank statements from the borrower evidencing short term rental deposits. Borrower must provide rental records for the subject property to support monthly deposits.
 - 1007/1025 completed using Short term Market Rents

- Min DSCR 1.0
- Min Score 680
- Less than 1 year experience operating a short-term rental is an exception
- Property Tax Escrows required

Asset Documentation

Full Asset Documentation is required for both funds to close and reserves. For most asset types, this would include all pages of the most recent one-month (1) statement, the most recent quarterly statement, or FNMA approved third party direct pull services.

Statements are not required for Cash Out transactions which satisfy reserves.

Publicly traded Stocks / Bonds / Mutual Funds – 100% may be used for reserves.

Vested Retirement Accounts – 100% may be considered for reserves.

Bitcoin or other forms of cryptocurrency are permitted for both funds to close, and reserves provided the cryptocurrency has been converted or liquidated to cash. Seasoning requirements not applicable given liquidation.

Secured borrower funds are allowed for down payment and closing cost (ex: HELOC or OREO).

- Asset statements for closing and reserves do not require access letters for non-borrowing parties.
- Non-borrowing title holder or member of LLC/entity contributing assets are not considered a gift.
- Earnest money deposit – Follow FNMA requirements. If needed to meet minimum borrowers' contribution, provide documentation.

Gift Funds

Purchase transaction only

- Minimum Borrower Contribution < 75% LTV - No minimum contribution required
 - > 75% LTV - Borrower must have 5% of their own funds documented but not required to use o If the minimum borrower contribution % is not used towards the down payment, those funds can be used towards reserves
- Gift funds are not permitted for reserves
- Only gifts from family/Spouse members are allowed
- Non-borrowing titleholder or member of the LLC/entity who is contributing funds is not considered a gift, no gift letter required
- Gift of equity from family member allowed up to 70% LTV/CLTV. Subject property mortgage rating from seller is required

- Must be current rental/tenant occupied with lease in place seasoned 3 months
- Minimum 1.0 DSCR

Life Insurance Cash Value

Life insurance policy current cash value or loan against the cash value may be used for down payment, closing costs or reserves

Reserves

\$125k - \$500k	3 Months
\$500k - \$1,000,000	6 Months
\$1,000,000- \$2,000,000	6 Months
\$2,000,000 – \$3,000,000	9 Months
Cashout	6 Months Required

No Ratio DSCR Reserves

- Min 6 months reserves to 1.5 Million
- 1.5 Million plus 9 months
- Reserves are calculated off actual P&I payment plus Taxes, Insurance, and HOA
 - Interest only - payment plus Taxes, Insurance and HOA
- Gift funds are not permitted for reserves
- A variance may be allowed but never less than 3 months less than program requirements with underwriter justification and compensating factors
- No additional reserves needed for additional financed properties

Accessory Dwelling Units – ADU

- Appraiser to confirm ADU is typical to the area with supporting comparables
- Rental income may be used with supporting appraisal comparable which contains permitted accessory units, Appraisal market rents survey, and lease with 1 month evidence receipt of income
 - Purchase – Borrower to provide attestation regarding their intentions to rent the ADU
- Unpermitted ADUs must be completed in a workman like manner and conform to the subject property. No rental income may be used to qualify
- Conforms to all zoning laws/regulations
- 2 ADUs allowed on SFRs

- Not permitted on four-unit properties
- Manufactured Home ADU's are not permitted

Rural / Agricultural Properties

By exception only

Property

Appraisal

- All appraisals must comply with and conform to USPAP and the Appraisal Independence Requirements, and any requirement for HPMLs, if applicable
- The appraiser must not have a direct or indirect interest, financial or otherwise, in the property or in the transaction
- An appraisal prepared by an individual who was selected or engaged by a borrower, property seller, real estate agent or other interested party is not acceptable
- Assigned appraisals are acceptable, unless ordered by borrower
- Two appraisals are required to be delivered for either of the following scenarios: loan amounts > \$2,000,000 or HPML flip transactions as defined by the CFPB. Interior photos are required
- Original appraisals are valid for one hundred twenty (120) days from the note date. Any appraisal dated greater than one hundred twenty (120) days will require a recertification of value completed by the original licensed appraiser and is good for an additional one hundred twenty (120) days. If the loan does not close within the initial recertification, then another update may be obtained but the original appraisal must be dated within 12 months of the note
- Legal non-conforming zoned properties must indicate that the subject property can be 100% rebuilt if it is severely damaged or destroyed
- Appraisals with condition or quality ratings of C5 or C6 will not be eligible for purchase by Cliffco Inc,
- For 2–4 unit properties, a FNMA 1025 Small Residential Income Property Appraisal Report is required if applicable

Appraisal Review

- Except when two appraisal are present all appraisals must have a secondary valuation product.
- Secondary products can be any of the following

- Fannie Mae or Freddie Mac SSR with a score of 2.5 or less. Only one passing score is needed but both must be ran at the same time. If the score exceeds the 2.5 we will need an additional valuation product.
 - Desk review from Consolidated Analytics, Clear Capital, Service Link, Stewart Valuation, or Summit Valuation. Report must show a value that has no greater than a 10% variance from appraised value(5% on loans with 90% LTV). If report falls out of variance limit a second appraisal will be required.
 - Field Review. Report must show a value that has no greater than a 10% variance from appraised value(5% on loans with 90% LTV). If report falls out of variance limit a second appraisal will be required. Must be completed by a different appraiser than listed on appraisal.
 - Second appraisal. Must be completed by a different appraiser than listed on appraisal. When using this option no additional valuation product is needed.
- The Appraised Value (or lowest if two are required) is the only value used to determine the property value for the subject loan. Any secondary valuation products are provided only to support the value of the origination appraisal and are not meant to be used as a substitute value for the property

FEMA Disaster Areas

- Sellers are responsible for identifying areas impacted by disasters and ensuring that subject property has not been adversely impacted
- A list of federally declared disaster areas may be found on the FEMA website at <http://www.fema.gov/disasters>
- In addition, when there is knowledge of an adverse event occurring near or around the subject property, including but not limited to earthquakes, floods, tornadoes, or wildfires, additional due diligence is required to determine when the disaster area Guidelines must be followed
- Guidelines for disaster areas should be followed ninety (90) days from the incident period ending date or the date the adverse event occurred, whichever is greater

Appraisal Completed Prior to Disaster

- Appraisal update or final inspection from the appraiser must be obtained
- Damage that impacts the safety or habitability of the property or damage in excess of \$2000 will not be purchased by Cliffco Inc,

Appraised After Disaster Incident

- Appraiser must comment on the adverse event and any effect on marketability or value
- Damage that impacts the safety or habitability of the property or damage in excess of \$2000 will not be purchased by Cliffco Inc.

Disaster Incident Occurs After Closing, Prior to Funding

- A Post Disaster Inspection (PDI) Report from Clear Capital or Damage Assessment Report (DAR) from Pro Teck will need to be provided to Cliffco Inc,
- Any indication of damage reflected on the report will require a re-inspection by the appraiser
- Damage that impacts the safety or habitability of the property or damage in excess of \$2000 will not be purchased by Cliffco Inc.

Rent Loss Insurance

- Rent loss insurance must be 6 months of PITIA for the subject property.
 - If rent loss coverage is less than 6 months, the deficiency balance may be comprised of additional subject property PITIA reserves. EX: if the required reserves for the transaction are 3 months and the required Rent Loss coverage is 6 months, the total PITIA requirement for the transaction is 9 months.

Eligible Property Types

- One Unit Single Family Residences (Attached, Detached and Modular)
- Single Family properties with ADU (Accessory Unit Dwelling)
 - Up to two ADU's allowed on a SFR property
 - Conforms to local zoning laws and is permitted
 - Insurance replacement cost must include ADU.
 - Must be smaller than primary property
 - Unpermitted ADUs must be completed in a workman like manner and be consistent with the primary dwelling(no rental income allowed)
 - Market Rent for ADU must be documented on FNMA form1007
 - Rental Use to follow rental guidelines
- 2-4 Unit Properties
- PUDs – Attached and Detached
- Townhouses
- Leasehold Properties (Exception Based)
- Maximum of 20 acres

- [2022D Bill Summaries - The Florida Senate \(flsenate.gov\)](https://flsenate.gov)

Condos

Warrantable Condo

- Seller to review and approve FNMA warrantable projects. A certification, similar to the Condo Project Warranty Certification must be provided.
- Limited Reviews allowed following FNMA

- Attached units in established projects located in Florida may be subject to more restrictive LTV ratio requirements under the Limited Review process, as per FNMA guidelines
- Florida condo projects and associations subject to Florida SB-4D requirements will need Structural Integrity Reserve Studies and Milestone Structural Inspections subject to all state requirements. These properties require exception

Non-Warrantable Condo

All non-warrantable condo loans require a review conducted by Cliffco Inc,'s Enterprise Condo Desk prior to purchase.

- Detached (site) condo units: These units may be underwritten using single family dwelling LTV/CLTV Guidelines.
- Two-to-four-unit condominium projects: The priority of common expense assessments applies, The standard insurance requirements apply

Non-Warrantable Features Allowed(Up to Two)

- Single Entity may not own more than 30% of the units
- Investor Concentration allowed up to 70%
- Delinquent HOA allowed up to 25%
- Minimum 10% HOA reserves are required
- Mandatory Memberships are allowed up to 10% of purchase price
- Projects Involved in Litigation
 - Must not be structural in nature and cannot affect marketability of the units.
 - Potential for damages do not exceed 25% of HOA reserves. This can be waived if the insurance states they are providing defense and the coverage is sufficient to cover the litigation
- Up to 50% commercial space
- Recreational Leases
- Presale - At least 30% of the units must be sold or under contract

Non -Warrantable Features (Possible Considerations with Exception Review)

- Presale must be at least 15%
- Investor concentration allowed to exceed 70%
- Up to 65% commercial square footage
- Recreational leases allowed
- A single entity can own up to 50% of the units
- Delinquent HOA allowed up to 25%
- Closing with a TCO as well as allowing first to close
- Purchase Cema/Splitter agreement

- Condo currently under non-structural litigation
- Leased/Shared amenities
- Landlease
- Local Law 11(Unsafe Rating)
- Non-gut regab construction/ground up construction
- Condotel/Condop
- Insurance master policy with a deductible up to 10%
- No line item for 10% reserves
- Established project Co-Ops require a review conducted by Cliffco Inc's Enterprise Co-Op Desk prior to purchase.
- Submissions must be sent to Exceptions@CliffcoIncTPO.com and must include the following documents:
 - Condominium Project Questionnaire
 - Current Annual budget for the project
 - Balance Sheet
 - Established project certification • Master Insurance Policy o HO-6

Insurance is required on all condominium units unless the interior of the unit is included in the HOA master insurance policy, known as a "Single Entity" or "All-In/All-Inclusive" policy. The HO-6 coverage amount is determined by the property insurer and must be sufficient to repair the condo unit to its condition prior to a loss claim event.

Additional Guideline Requirements

High Cost

- Cliffco Inc, does not purchase loans defined as high-cost mortgages under Federal or state law, regardless of the basis for the loan's treatment as such.
- Cured High-Cost loans are also not eligible

Fraud

- A fraud prevention pull is required from DataVerify, Core Logic, SAS or a similar engine
- All parties to the transaction must be screen through exclusionary list and must be cleared through OFAC SND list

Hazard insurance (1-4 Unit Properties)

- 100% of the replacement cost value of the improvements as of the current property insurance policy effective date, or the unpaid principal balance of the loan, provided it equals no less than 80% of the replacement cost value of the improvements as of the current property insurance policy effective date • All other coverages/property types follow FNMA policy

Flood insurance (1-4 Unit Properties)

- The minimum amount of flood insurance required for first mortgages must be equal to the lesser of
 - 100% of the replacement cost value of the improvements,
 - the maximum coverage amounts available from NFIP, or
 - the unpaid principal balance (UPB) of the loan (or loan amount at the time of origination) • All other coverages/property types follow FNMA policy

Escrows

- Unless required by applicable state law, escrow waivers are permitted
- Flood insurance premiums are required to be escrowed
- Mandatory escrows for taxes and insurance will be required for all HPML (5 years) loans

Escrow Holdbacks

- Cliffco Inc, will not purchase a loan with an escrow holdback.
- Weather related holdbacks may be considered on an exception basis
- Submit Exception Request Form to Exceptions@CliffcoIncTPO.com

Assumability

- Fixed rate loans are not assumable
- Adjustable-rate loans may be assumable depending on Note

Maximum Financed Properties

- Cliffco Inc, will purchase a maximum of ten loans to one borrower with an aggregate loan amount up to \$7.5M.
- Owner-occupied properties: There is not a maximum number of financed properties the borrower may have if the subject property will be owner-occupied.
- Second home and investment: Maximum 20 residential properties may be financed, including the borrower's principal residence.
- Borrower(s) will be required to meet the subject property reserve requirement plus two months of reserves for each additional financed property, capped at a total of 12 months reserves for all properties (including Subject property)

Power of Attorney

- Limited Power of Attorney (POA) is acceptable for executing closing documents, is specific to the transaction, contains an expiration date, initial 1003 is signed by the borrower executing the POA
- Not permitted on Entities: LLC, Corporations, Entity Borrowers, etc.
- Not permitted on Cash-Out transactions

E-Signatures

- E-signatures are permitted with the exception of the following documents: Note, Mortgage, Deed of Trust, Closing Disclosure, Power of Attorney, documents that require a Notary signature, Riders / Addendums, and any state regulated disclosures. These documents require a wet signature

CLIFFCO

MORTGAGE BANKERS

Cliffco, Inc. is not affiliated with or acting on behalf of the FHA or any government entity. Equal Housing Lender. Cliffco, Inc. Corporate NMLS#65328 (www.nmlsconsumeraccess.org) 70 Charles Lindbergh Blvd, Suite 200, Uniondale, NY 11553 (516) 408-7300. Licensed Mortgage Lender by AK Division of Banking and Securities AK65328, AK65328-1; AL Mortgage Broker/Lender License #23581; AZ Mortgage Banker License 1045708; CA DFPI Financing Law License 60DBO-181882; CO Dept. of Regulatory Agencies Division of Banking; CT Department of Banking MCL-65328; DC Department of Insurance, Securities, & Banking MLB65328; DE Office of the State Bank Commissioner 040096; FL Office of Financial Regulation MLD1245; GA Department of Banking & Finance 65328; IL Department of Financial & Professional Regulation MB.6761824; IN Indiana Department of Financial Institutions 70581; KS State Bank Commissioner of Kansas MC.0026625; KY Department of Financial Institutions MC838985; LA Office of Financial Institutions 65328; MA Mortgage Broker and Mortgage Lender License MC65328 MA Division of Banks; MD Office of Financial Regulation; MN Department of Commerce #MN-MO-65328; NC Commissioner of Banks L-211081; NJ Department of Banking & Insurance; NM New Mexico Regulation & Licensing Dept.; Licensed Mortgage Banker by the NYS Department of Financial Services LMBC109800; OH Department of Commerce Residential Mortgage Lending Act RM.805200.000; OR Oregon Department of Consumer and Business Services 65328; PA Department of Banking & Securities 45275; SC State Board of Financial Institutions MLS-65328; TN Department of Financial Institutions Mortgage License 65328; TX Department of Savings & Mortgage Lending; VA Bureau of Financial Institutions MC-7742; VT Department of Financial Regulation LL-65328; WA State Department of Financial Institutions CL-65328. This is not a commitment to lend or extend credit. Restrictions may apply. All loans are subject to credit and underwriting approval. Not all loan products are available in all states. Rates may not be available at time of application. Information and/or data are subject to change without notice.

Content is subject to change and intended for business purposes only, not consumer distribution.